

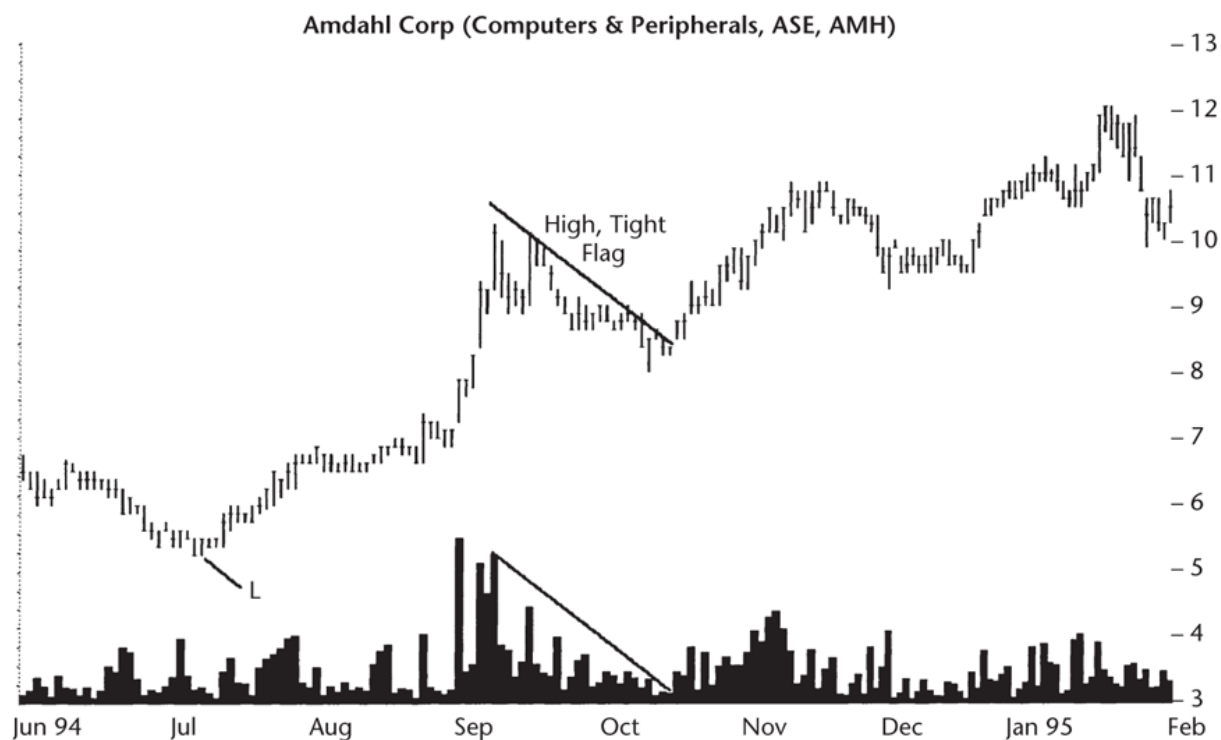


Figure 35.2 This high, tight flag looks loose, but price performs well, rising 33% above the highest high in early September.

Table 35.1 Identification Guidelines

Characteristic	Discussion
Appearance	A rise lasting no more than 2 months carries price upward at least 90% (shoot for a doubling of the stock price). This is the flagpole. Price pauses and consolidates when building the flag portion and then breaks out upward.
Flag consolidation	Locate a consolidation area after the flagpole, where price pauses. This is the flag.
Volume	The volume trend in the flag should be receding for best performance.
Breakout direction	Upward. Don't trade this if price fails to close above the flag/flagpole high.
Duration	Price has to double or near double in 2 months or less.

The high, tight flag slopes downward for 38 days, 3 more days than the maximum, and declines by 22%, two percentage points over the threshold.